

charges was about \$2,400,000. Finally the annual report for 1937 advised the stockholders that the corresponding extra charge-off amounted to approximately \$3,275,000 for the year 1936. Beginning with 1937 the company made “regular” depreciation charges, amounting to \$5,702,000 in that year and to \$6,085,000 in 1938. Thus, by easy stages, the owners of the business were told the facts of life bearing on their property.

1928	Bethlehem Steel	Youngstown Sheet & Tube
Property account, Dec. 31, 1927	\$673,000,000	\$204,000,000
Sales	295,000,000	141,000,00
Depreciation, depletion, and obsolescence	13,658,000	8,321,000
Ratio: depreciation to property account	2.03%	4.08%
Ratio: depreciation to sales	4.63%	5.90%

In the light of this later disclosure, the earlier inference⁶ that American Can had understated its depreciation charges must give way to the remark that the company had failed to reveal the facts.

A Case of Excessive Depreciation Charges Concealed by Accounting Methods. The American Can example suggests comparison with the earlier practice of National Biscuit Company, an enterprise controlled largely by the same interests. For many years prior to 1922 the company was constantly adding to the number of its factories, but its property account failed to show any appreciable increase, except in the single year 1920. The reports to stockholders were supremely ambiguous on the matter of depreciation charges,⁷ but according to the financial manuals the company’s policy was as follows: “Depreciation is \$300,000 per annum, and all items of replacement and building alterations are charged direct to operating expense.”

It is difficult to avoid the conclusion, however, that the capital investments in additional plants were actually being charged against the profits

⁶ Drawn in the 1934 edition of this book.

⁷ Prior to 1919, the company’s balance sheet each year stated its fixed assets “Less Depreciation Account—\$300,000.” Evidently this was the deduction for the current year and not the amount accumulated.